



Department of Energy
Richland Operations Office
P.O. Box 550
Richland, Washington 99352



17-MGR-0005

NOV 28 2016

Jerome ✓
Jim ✓
Shon ✓
David cc
Loretta cc
A. Fyell

Benton County Board of Commissioners
P.O. Box 190
Prosser, Washington 99350

Dear Commissioners Beaver, Delvin, and Small:

CALENDAR YEAR 2017 PAYMENT IN LIEU OF TAXES (PILT)

The U.S. Department of Energy (DOE) Richland Operations Office (RL) appreciates the ongoing open and collaborative dialogue with Benton County regarding PILT for Hanford lands. RL continues to pursue a reprogramming of cleanup funds to support payment of the Calendar Year 2016 PILT assessments received from the Benton, Franklin, and Grant counties. Conversations with our headquarters counterparts and congressional committee staff have been productive, and we remain hopeful that Congress will approve this reprogramming in the near future.

As we have stated in our previous meetings, the Department would like to pursue an update to the Settlement Agreement that was signed by DOE and Benton County in 1996, with the goal of reducing and stabilizing future PILT invoices to RL. Leveling these annual PILT amounts will create a more predictable process between our organizations, which will significantly aid the Department in its annual appropriations development and request process. We recognize that flattening PILT amounts may present challenges to the County and its junior taxing districts, however, we believe it is very important that we continue to work collaboratively with you to reestablish PILT at a consistent and supportable level. We further believe it is important to have the agreement updated by January 2017, if possible.

Please let me know who we can work with at Benton County to begin the process of updating our agreement. We look forward to continued productive discussions with Benton County and the timely resolution of this matter. If you have any questions, please contact me, or you may also contact Gregory A. Jones, Assistant Manager for Business & Financial Operations/Chief Financial Officer, on (509) 372-8977.

Sincerely,

Doug S. Shoop
Manager

DEP:TEO

cc: Duane Davidson, Benton County
Bill Spencer, Benton County